



बीमा विनियामक और विकास प्राधिकरण
**INSURANCE REGULATORY AND
DEVELOPMENT AUTHORITY**

REF: IRDA/F&A/CIR/FA/126/07/2013

Dt. 3rd Jul, 2013

CORRIGENDUM ON MASTER CIRCULAR

Attention is invited to Master Circular IRDA/F&I/CIR/F&A/231/10/2012 Dt. 5th Oct 2012. As Insurers had approached the General Insurance Council and had made representations on the following issues, the Authority, after considering the representations, advises the following partial modifications to the conditions made therein:

a. Effective Date of Master Circular

1. The effective date of for Master Circular IRDA/F&I/CIR/F&A/231/10/2012 Dt. 5th Oct 2012 shall be for Financial Years commencing from April 1, 2013 onwards. Para Reference made below corresponds to Para mentioned in the Master Circular referred above. This Corrigendum also comes into effect from 1st April, 2013.

b. Para 2.5: Treatment of Premium Deficiency

1. Premium deficiency arises when sum of expected Claim Costs, related expenses and maintenance costs (related to claims handling) exceed related reserve for unexpired risks. The expected claim costs shall be calculated and be duly certified by the Appointed Actuary.
2. To enable the insurers to have a smooth transition, Premium Deficiency shall be recognized for the Company as a whole, on an annual basis, and not at the Segmental Revenue Account level for separately up to 31st March, 2015 [*as per IRDA (Preparation of Financial Statements and Auditor's Report of Insurance Companies), Regulation, 2002 as amended from time to time*]. However, up to 31st March, 2015, the aggregate of the Premium Deficiency shall be reported in the Revenue Account from which the same has predominantly arisen. From **1st April, 2015 Premium Deficiency shall be recognized at Segmental Revenue Account level.**
3. In computing the overall Premium Deficiency in the Miscellaneous Revenue account level, the Premium Deficiency arising out of Motor Third Party portfolio including erstwhile Motor Pool, Declined Risks Pool and other Pools which may operate **need not** be recognized.

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4. The basis of computation of Premium Deficiency shall be disclosed under Notes of Accounts in clause (1) of Part V of Schedule B of IRDA (Preparation of Financial Statements and Auditor's Report of Insurance Companies) Regulations, 2002

c. Para 2.7 : Premium received in Advance

1. Premium received in Advance is the premium where the period of inception of the cover sought is clearly outside the accounting period and is to be shown under current liabilities. All acquisition costs, related thereto, if any, shall be treated as pre-paid expenses and is to be shown under Current Assets, Loans and Advances

d. Para 2.17 : Profit on Sale/Redemption of Investments - Income Tax thereon

1. Para is being omitted

e. Addition of Para 4.9 - Requirement of Minimum Unexpired Risk Reserve (URR)

1. In preparing Financial Statements "Unexpired Risk Reserve" (URR) shall be the amount representing that part of the premium written which is attributable to, and to be allocated to the succeeding accounting periods".
2. Annual policies issued by the insurers, 1/365th method i.e. on actual number of days left in the policy period divided by total number of days of policy period, can be applied and for policies shorter than that or longer than that, the amount representing that part of the premium written which is attributable to, and to be allocated to the succeeding accounting periods should be recognized as URR, **provided** the Insurer had put in necessary automated system in place in adopting this method of accounting. In respect of RSBY, the enrolment costs can be netted off from URR based on the same 1/365 method
3. In case of short term policies, where policy period either lapses within the accounting year (as in the case of marine-specific, travel policies, weather insurance etc), as the premium is earned fully within the accounting period, no URR will arise on such policies. ✓
4. In determining Required Solvency Margin (RSM) and Available Solvency Margin (ASM), 'Premium net of Reinsurance' (Net Premium) as per the requirement of Schedule II B (2) (ii) (a) IRDA (Assets, Liabilities & Solvency Margin of Insurers) Regulations 2000, shall apply only in respect of unexpired risks ✓



5. The Insurer shall file a certificate issued by the Statutory Auditor, confirming that the necessary automated Systems and Process have been put in place, as required under Point 2 above, **before** changing the accounting method.

f. Analytical Ratios - Non life- Annexure II

No	Ratio	Method of calculation	Remarks	Presentation
4	Net Retention Ratio	Net Written Premium is to be considered for Net Premium in the Numerator	Indian and foreign operation to be shown separately.	%
9	Combined Ratio: (a+b) a. (Net Incurred Claims divided by Net Earned Premium) plus b. Expenses of management (including net commission) divided by Net written premium. Description of ratio: i. Data taken from schedule 1, Schedule 2, Schedule 3 & Schedule 4 ii. Numerator a. Net incurred claims for all segments (Schedule 2) b. Expenses of management (Schedule 4) + Net Commission (Schedule 3) Denominator: Net Earned premium (for Net incurred claims) and Net Written Premium (for expenses of management and net commission)	Net incurred claims divided by Net Earned Premium plus expenses of management (including net commission) divided by Net written premium	Indian and foreign operation to be shown separately.	%

Step 2 

No	Ratio	Method of calculation	Remarks	Presentation
10	Technical Reserves to net premium ratio	Net written Premium is to considered for Net Premium in the denominator		
11	Underwriting balance ratio	Net earned Premium is to considered for Net Premium in the denominator		
12	Operating profit ratio	Net earned Premium is to considered for Net Premium in the denominator		

g. Annexure V is deleted and accordingly references to Annexure VI to VIII to be read as Annexure V to VII respectively

h. Definitions

1. **Gross Direct Premium** - Gross Direct Premium is the premium booked directly from the insured /policyholders excluding the service tax element thereon.
2. **Gross Written Premium** - Gross written premium is the Gross Direct Premium and inward reinsurance premium accepted during the period (Premium on reinsurances accepted).
3. **Net Premium** (Also referred to as **Net Written Premium/Net Retained Premium**) - This term refers to the Gross written premium less Premium on Reinsurance Ceded (Retention of the Insurer after considering all types of reinsurances).
4. **Net Earned Premium** - Net premium after adjustment for movement in the Reserves for Unexpired Risks in any given accounting period.
5. **Gross Incurred Claims** - Gross Claims Paid plus Gross movement in claims outstanding including gross IBNR/IBNER (Incurred but not reported/Incurred but not enough reported). This includes claims relating to both direct and reinsurance accepted.

Signature

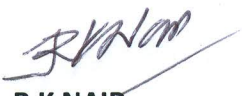
Gross Incurred Claims = Gross claims paid (both direct and reinsurance accepted) + Gross claims outstanding at the end of the period (both direct and reinsurance accepted) - Gross claims outstanding at the beginning of the period (both direct and reinsurance accepted).
Gross claims outstanding include gross IBNR/IBNER.

6. **Net Incurred Claims** - Net claims after accounting for recovery of claims from reinsurers. This also includes both net claims relating to both direct and reinsurance accepted.

Net Incurred Claims = Net claims paid + Net claims outstanding at the end of the period - Net claims outstanding at the beginning of the period.

Net outstanding claims include Net IBNR/IBNER.

Net claims = Gross claims less reinsurance recoveries of claims.




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